The other gnawing political issue that is a thorn in India's back is the Pakistan issue. The deterioration in our relationship culminated in 1999 in the war in Kargil. Earlier we have fought several wars on Kashmir and other issues. Wars push up inflation and demand declines. It is estimated that the Gulf War cost India $1.5 billion on account of higher prices of petroleum products, opportunity costs and fall in exports. The defence budget is enormous. This money could have been spent elsewhere for the development of the country. Other examples include Sri Lanka, East Europe and other troubled countries. These countries were once thriving. No longer. Let us take the example of Sri Lanka. It is a beautiful island and was considered a paradise for tourists — a pearl in the ocean. The country is in the grips of a civil war. The northern part of the country, which was once thriving, is in the hands of Tamil guerillas and there is no industry and little economic activity. Idi Amin in the seventies by expelling Asians from Uganda did that country's economy irreparable harm. In 1997-98, due to the elections and then the bombing of the American embassy, the economy of Kenya tailspinned to negative growth. Then a few years later as the economy was recovering, the Mombasa bombings again set it back.

In conclusion, the political stability of a country is of paramount importance. No industry or company can grow and prosper in the midst of political turmoil.